tight, with high interest rates contributing to slowing investment and consumption.

Moreover, India's institutions for acquiring land, allocating natural resources, and granting clearances were overwhelmed during the period of strong growth. Strong growth increased the scarcity and value of resources such as land or mineral wealth. To the extent that these were cheap in the past, there was little reward to misallocating them. Growth, however, increased the rents to corruption.

Similarly, industrial development led to growing encroachment on farmland and forests and the displacement of farmers and tribals. India is a developing country with a civil society possessed of first-world sensibilities. Protests organized by politicians and activists led to new environmental laws and land acquisition laws that aim to make development sustainable. Over time, India will learn to streamline the new laws to make them more functional, but in the short run a side effect has been more bureaucratic impediments to investment. So growth, as well as the reaction to that unbridled growth, created a greater possibility of corruption.

Fortunately, a vibrant democracy like India has its own checks and balances. India's investigative agencies, judiciary, and press started examining allegations of large-scale corruption. The unfortunate side effect as the clean-up proceeded was that bureaucratic decision making became more risk averse, and many large projects came to a grinding halt.

Only now, as the government creates new institutions to accelerate decision making and implement transparent processes, are these projects being cleared to proceed. Once restarted, it will take time for these projects to be completed, at which point output growth will increase significantly.